Demo Bank Ltd. - Internal SOP: KYC, Account Opening and NRI Accounts

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FICTIONAL DOCUMENT - created for the PolicyGuard academic demonstration. Demo Bank Ltd. is not a real bank. Rules marked here may intentionally differ from RBI directions.

1. Purpose and Scope

This Standard Operating Procedure (SOP) sets out how branches of Demo Bank Ltd. identify and verify customers, open accounts and keep customer due diligence (CDD) information up to date. It applies to all branches, the NRI Services Desk and the Central Account Opening Cell. It must be read together with the RBI Master Direction on Know Your Customer (KYC); where this SOP is silent, the RBI Master Direction applies.

2. Customer Acceptance and Risk Categorisation

Every customer is placed in one of three risk categories - low, medium or high - based on identity, social and financial status, nature of business activity and the customer's location. Politically Exposed Persons (PEPs), customers with large unexplained cash transactions and non-face-to-face customers are categorised as high risk.

Opening of an account for a high-risk customer shall be approved by the Branch Manager. Opening of an account for a Politically Exposed Person shall additionally be approved by the Compliance Head.

3. Documents for Account Opening - Resident Individuals

A resident individual shall submit: (a) one Officially Valid Document (OVD) - passport, driving licence, proof of possession of Aadhaar number, Voter's Identity Card, NREGA job card or National Population Register letter; (b) the Permanent Account Number (PAN) or Form 60; and (c) one recent passport-size photograph. In a joint account, these documents are required from every account holder.

The account shall be opened within 3 working days of receipt of complete documentation.

4. Video-based Customer Identification Process (V-CIP)

Demo Bank has not yet implemented V-CIP. Accounts shall not be opened through video-based KYC until further notice; all account opening requires in-person verification of the customer at a branch.

5. NRI Accounts - NRE and NRO

A Non-Resident Indian (NRI) opening an NRE or NRO account shall submit: a valid Indian passport; a valid visa, work permit or residence permit of the country of residence; proof of overseas address not older than three months; PAN or Form 60; and two recent photographs.

Copies of documents of a customer residing abroad shall be certified by an overseas branch of a scheduled commercial bank in India, the Indian Embassy or Consulate, or a notary public of the country of residence.

The minimum initial deposit for an NRE savings account is Rs. 10,000. An NRO account may be held jointly with a resident relative on a "former or survivor" basis. NRI account applications shall be processed within 5 working days.

6. Periodic Updation of KYC

KYC of existing customers shall be updated periodically as follows: high-risk customers every 2 years; medium-risk customers every 8 years; low-risk customers every 12 years, counted from the date of account opening or the last KYC updation.

7. Upload to the Central KYC Records Registry (CKYCR)

The Central Account Opening Cell shall upload the KYC records of every new customer to the CKYCR within 15 days of opening of the account.

8. Record Retention

Records of customer transactions shall be preserved for at least five years from the date of transaction, and identification records for at least five years after the business relationship has ended.

9. Cash Transactions and Payment Instruments

Cash deposits of Rs. 50,000 or more require the customer's PAN or Form 60. Demand drafts, pay orders and travellers cheques of Rs. 50,000 and above shall be issued only by debit to the customer's account or against a cheque, and not against cash.

10. Escalation

Any question not covered by this SOP shall be referred to the Compliance Desk before the customer is onboarded. Staff must not rely on informal guidance.